Kinds of Preference shares

There are eight types of preference shares. In case of dissolution of the company, any of the eight types would be paid out before other types of equity.

Cumulative Preference shares: As the word indicates, all dividends are carried forward until specified, and paid out only at the end of the specified period.

Non-cumulative Preference shares: The opposite of cumulative, obviously. Dividends are paid out of profits for every year. There are no arrears carried over a time period to be paid at the end of the term

Redeemable Preference shares: Such preference shares can be claimed after a fixed period or after giving due notice.

Non-Redeemable Preference shares: Such shares cannot be redeemed during the lifetime of the company, but can only be obtained at the time of winding up (liquidation) of assets.

Convertible Preference shares: The shares can be converted into equity shares after a time period or as per the conditions laid down in the terms.

Non-convertible Preference shares: Non-convertible preference shares cannot be, at any time, converted into equity shares.

Participating Preference shares: Such shares have the right to participate in any additional profits, after paying the equity shareholders. The surplus of profit is apart from the fixed dividend paid up for preference shares.

Non-Participating Preference shares: Non-participating preference shares do not possess any right to participate in surplus profits or any surplus gained at the time of liquidation of the company.

Tenure of Preference Shares

Tenure of Preference Shares continued as 20 years except for "Infrastructural Projects" Companies having "infrastructural projects" can issue Preference Shares for more than 20 years but up to 30 years subject to minimum 10% redemption of such preference shares from 21st year onward or earlier.

26.06 Issue of shares, Bonus shares and Right shares

There are various ways by which shares can be issued.

Issue of shares at Par

Normally shares are issued at their face value or par value i.e at a price mentioned on the face of share certificate concerned. There is no legal restrictions on issuing shares at par / face value.

Issue of Shares at Premium

When shares are issued at a price above the face or nominal value, they are said to be issued at a premium. For example, a share having the face value of Rs.10 is issued at Rs.12. Here, Rs.2 is the premium. The amount of share premium has to be transferred to an account called the 'Securities Premium Account'. This account is capital in nature and can only be utilized for the purposes specified by the Act under Section 78 viz; Issue of fully paid bonus shares to members of the company.

(i) To write off preliminary expenses.

(ii) To write off the expenses of issue, or commission paid, or discount allowed, on issue of shares or debentures of the company.

(iii) To provide for the payment of premium on the redemption of any redeemable preference shares or debentures of the company.

Thus, the Securities Premium Account cannot be treated as a revenue reserve for distributing dividends. It can only be used for the above mentioned purposes and also for buying back of securities (section 77A). It must be noted that Security premium is not available for distribution of dividend.

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